

Table 7: Fama-French alphas of ten portfolios sorted on duration conditional on investor sentiment

	Low Dur	D2	D3	D4	D5	D6	D7	D8	D9	High Dur	D1-D10
<i>Panel A: sentiment alphas</i>											
α_{HighSent}	0.42	0.32	0.24	0.18	0.18	0.10	-0.09	-0.21	-0.36	-0.88	1.30
SE	(0.15)	(0.12)	(0.10)	(0.09)	(0.09)	(0.09)	(0.10)	(0.10)	(0.16)	(0.28)	(0.22)
α_{LowSent}	0.53	0.33	0.18	0.22	0.19	0.19	0.13	0.15	0.06	-0.17	0.70
SE	(0.14)	(0.10)	(0.09)	(0.08)	(0.08)	(0.08)	(0.09)	(0.09)	(0.14)	(0.25)	(0.20)
<i>Panel B: sentiment betas</i>											
β_{Sent}	0.20	0.12	0.04	0.07	0.14	0.05	0.08	0.12	0.11	0.47	-0.27
SE	(0.10)	(0.08)	(0.06)	(0.06)	(0.06)	(0.06)	(0.07)	(0.07)	(0.10)	(0.18)	(0.15)

Notes: Sample covers August 1965 to December 2023 (701 months). High sentiment is defined by lagged sentiment above 0.0006; the sample has 314 high-sentiment and 387 low-sentiment months. Alphas, betas, and standard errors are monthly percentages. Panel A estimates alphas from excess returns on high- and low-sentiment dummies plus Mkt-RF, SMB, and HML, without a separate intercept. Panel B regresses Fama-French three-factor adjusted returns on a constant and the monthly change in the Baker-Wurgler sentiment index. Panel B uses sample-standardized monthly changes in the Baker-Wurgler sentiment index. Sentiment variables use the Baker-Wurgler index lagged one month; observations without lagged sentiment or sentiment changes are dropped.